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Case Number: 25STCV13461 Hearing Date: July 8, 2026 Dept: 515

NATURE OF PROCEEDINGS:

Hearing on Defendant's Motion to Vacate Default and Default Judgment

Defendant's Motion to Vacate Default and Default Judgment is granted.

BACKGROUND

Plaintiff Huntington-Cortez Garden Apartments Association

(Plaintiff) filed this action against Paul W. De Longe, as Trustee of the John W. De Longe and Mary B. De Longe Trust Established January 9, 1968 (Defendant).

The Complaint alleges that the premises at 1025 West Huntington Drive, Arcadia (the Property) are residential real property subject to the Tenant Protection Act of 2019, and that Defendant, as landlord, raised the monthly rent to \$19,000 effective January 1, 2024, in excess of the limits imposed by that statute. (Civ. Code, § 1947.12.)

The causes of action are: (1) Violation of Statute (Civil Code section 1947.12); and (2) Declaratory Relief. The Complaint prays for damages according to proof of not less than \$100,000, prejudgment interest, a permanent injunction against the collection of rent above the statutory limit, and a declaration that the Property is residential real property subject to Section 1947.12.

Defendant was personally served on June 21, 2025. He did not respond, and the clerk entered his default on August 8, 2025. The Court entered a default judgment on March 6, 2026, awarding Plaintiff \$100,000 in damages, \$11,574.67 in prejudgment interest, \$2,890 in attorney fees, and \$544 in costs,

together with declaratory and injunctive relief.

Defendant filed this Motion to Vacate Default and Default Judgment. Plaintiff filed an Opposition.

REQUEST FOR JUDICIAL NOTICE

Defendant requests judicial notice of several exhibits submitted with its Compendium of Exhibits: recorded instruments concerning the Property and the interests within it (Exhibits 1, 3, 4, 13, and 28-1 through 28-3), two Redfin property profiles (Exhibit 29), the Complaint in this action (Exhibit 30), and the Declaration of Olivia Anderson filed in support of the default judgment (Exhibit 31).

The request is granted as to the recorded instruments and the court records in this action. (Evid. Code, § 452, subds. (d), (h).) The Court takes notice of the existence of these documents and of their legally operative language, but not of the truth of any disputed factual matter asserted within them. The request is denied as to the Redfin property profiles (Exhibit 29); the valuations and descriptions on a commercial real estate website are not matters of common knowledge or of such indisputable accuracy as to be a proper subject of judicial notice. (Evid. Code, § 452, subds. (g), (h).)

LEGAL STANDARD

A court may relieve a party from a default or default judgment taken through mistake, inadvertence, surprise, or excusable neglect, but the application must be made within six months. (Code Civ. Proc., § 473, subd. (b).) After the six-month period has run, statutory relief is unavailable, and a party seeking to set aside a default judgment must invoke the court's equitable power. (Rappleyea v. Campbell (1994) 8 Cal.4th 975, 981.)

A court sitting in equity may set aside a default judgment for extrinsic fraud or extrinsic mistake. (Ibid.) An extrinsic mistake occurs when circumstances outside the case have deprived a party of a fair adversary hearing; the doctrine reaches a case in which "a mistake led a court to do what it never intended." (Kulchar v. Kulchar (1969) 1 Cal.3d 467, 471-472.)

To set aside a default judgment for extrinsic mistake, the moving party must satisfy three elements: “First, the defaulted party must demonstrate that it has a meritorious case. Second[], the party seeking to set aside the default must articulate a satisfactory excuse for not presenting a defense to the original action. Last[], the moving party must demonstrate diligence in seeking to set aside the default once ... discovered.” (Rappleyea, supra, 8 Cal.4th at p. 982.)

ANALYSIS

Defendant seeks relief on the ground of extrinsic mistake, contending that his cognitive incapacity prevented him from responding to the Complaint or alerting his counsel or family to the action, thereby resulting in the judgment being entered without a true adversary hearing. Because more than six months passed between the entry of default on August 8, 2025, and the filing of this Motion, statutory relief is unavailable, and the Motion is addressed to the Court’s equitable power. (Rappleyea, supra, 8 Cal.4th at p. 981.) The three elements are addressed in turn.

I. Meritorious Defense

The first element asks whether the defaulted party has a meritorious defense, meaning one substantial enough to warrant a trial on the merits. It does not require Defendant to prove the defense will succeed, nor does it require a defense that could be resolved on demurrer or other pretrial motion; it is enough that the record discloses a defense Defendant could fairly present if the default were set aside. Defendant has made that showing.

The Complaint pleads an ordinary residential rent-control claim: that the Property is residential real property, that Defendant is the landlord, and that raising the monthly rent to \$19,000 effective January 1, 2024, exceeded the cap imposed by the Tenant Protection Act. (Civ. Code, § 1947.12, subd. (a).) The statute bars an “owner of residential real property” from increasing, beyond a set annual percentage, “the gross rental rate for a dwelling or a unit” charged to a tenant. (Civ. Code, § 1947.12, subd. (g) [defining “owner” as a person having the right to offer residential real property for rent, and “residential real property” as a dwelling or unit intended for human habitation].)

The recorded instruments describe something quite different.

Defendant is not an owner letting dwellings to tenants. Defendant is the lessor under a 1968 ground lease of the land itself, which fixes the rent by reference to the land's appraised value, exclusive of improvements, and resets it on January 1 of each tenth year. (Compendium of Exhibits, Ex. 1.) The lessee is not a resident but Plaintiff's predecessor, which, through covenants, conditions, and restrictions recorded in 1968 and amended in 1979, organized the premises as a community apartment project, a common interest development in which an undivided interest in the land is coupled with the right of exclusive occupancy of a particular dwelling. (Civ. Code, §§ 4100, 4105; Compendium of Exhibits, Exs. 3, 4.) The individual unit owners hold and convey those fractional interests by recorded grant deed and encumber them by deed of trust, including an institutional loan secured by a condominium rider. These are dealings characteristic of ownership, not tenancy. (Compendium of Exhibits, Ex. 28.) The 2022 extension carried that structure forward to 2058, and the 2023 correspondence indicates that the \$19,000 figure is the decennial reset of the ground rent to the appraised value of the underlying land, which the lessee acknowledged. (Compendium of Exhibits, Exs. 2, 6.)

On this record, the payment the Complaint challenges is not, on its face, a rental rate for a dwelling charged by a residential landlord to a tenant. It is a single ground rent for the land, computed on land value exclusive of improvements and paid to Defendant by the association that operates the development. At the same time, the people who occupy the dwellings hold recorded ownership interests and pay assessments to that association rather than rent to Defendant. Whether the Tenant Protection Act nonetheless governs a payment of this kind presents a substantial question that Defendant is entitled to litigate. The defense does not depend on any of the exemptions in subdivision (d), so it does not turn on the exemption notice the Complaint alleges was never given; nor is the 2023 rent agreement a waiver of statutory rights necessarily void under subdivision (l), because that bar operates only if the statute applies in the first place.

The Court does not resolve that question now, and it need not. What matters at this stage is that the recorded instruments present a genuine and substantial defense: that the Property is a common interest development subject to a negotiated ground lease rather than a residential tenancy subject to Section 1947.12. That the defense might not be susceptible of resolution on the pleadings, because it rests on instruments outside the Complaint and may raise questions of fact, does not detract from it; a defense

that must be proved at trial is no less a meritorious defense for that reason. Defendant has satisfied the first element.

II. Satisfactory Excuse

The second element requires a satisfactory excuse for the failure to defend. Defendant's excuse is his cognitive incapacity at the time the Complaint was served, and the record supports that excuse.

A defendant's mental incapacity can furnish the extrinsic mistake that supports equitable relief. In *Olivera v. Grace* (1942) 19 Cal.2d 570, an incompetent defendant was personally served, defaulted, and suffered a default judgment reforming a deed; after her death, her administratrix brought an action to set the judgment aside. (Id. at pp. 572-573.) The Supreme Court held that personal service on a person who had not been adjudicated incompetent and had no guardian conferred jurisdiction, so the judgment was not void. (Id. at p. 576.) But the Court held that equity could still relieve the incompetent defendant, ruling "where there has been no adversary proceeding at all, the right of the incompetent defendant to equitable relief may be established if the plaintiff's ignorance of defendant's legal disability prevented a true adversary hearing as well as where the plaintiff's fraud prevented such a hearing." (Id. at p. 578.)

Here, the evidence establishes that Defendant was cognitively impaired throughout the relevant period. His UCLA physician assessed him in March 2026 with moderate late-onset Alzheimer's dementia, and his former primary physician documented progressive memory deficits dating to 2021. Those records are before the Court through a custodian-of-records statement, executed under penalty of perjury by the custodian of the UCLA records, which lays a business-records foundation for them. (Evid. Code, § 1271; Supp. Longe Decl., Ex. 33.) Jean De Longe, Patti Drotter, and Lisa Silbar each describe, from firsthand dealings, Defendant's memory loss, disorganization, and growing inability to manage his own affairs over the same period. (Supp. Longe Decl. ¶¶ 2-5; Drotter Decl. ¶¶ 2-5.) Defendant's own conduct corroborates the diagnosis: he lost track of where the rent should be sent, could not recall directing the changes he had made, and never gave the summons and complaint to his counsel, his accountant, or his daughter, who found the served papers months later among a disordered accumulation of his files. (Longe Decl. ¶¶ 12-13; Supp. Longe Decl. ¶ 6.)

Plaintiff resists this showing on two grounds. Neither is persuasive.

First, Plaintiff invokes the presumption of capacity. All persons are presumed to have decision-making capacity, and the party asserting incapacity bears the burden of proof. (Prob. Code, § 810, subd. (a); Evid. Code, § 522; *Frates v. Treder* (1967) 249 Cal.App.2d 199, 204.) A diagnosis alone does not establish incapacity; the determination must rest on evidence of a deficit in mental function. (Prob. Code, § 810, subd. (c); § 811.) The presumption is rebuttable, and Defendant has rebutted it. The record shows not only a diagnosis but documented deficits in memory, attention, and the handling of finances and business affairs, of the kind Section 811 describes, corroborated by three people who dealt with Defendant directly. That evidence carries Defendant's burden on this Motion.

Second, Plaintiff argues that Defendant had actual notice of the action. Awareness that a lawsuit exists is not the same as the capacity to defend it. The defendant in *Olivera* was personally served, yet equitable relief remained available. (*Olivera*, supra, 19 Cal.2d at pp. 576-578.) The question is not whether Defendant received the papers but whether his condition prevented a true adversary hearing. On this record, it did.

III. Diligence

The third element requires diligence in seeking relief once the default was discovered. Defendant has shown it. The successor trustee learned of the action only when the Notice of Entry of Judgment arrived in mid-March 2026, promptly engaged counsel, sought Plaintiff's stipulation to vacate within days, and filed this Motion when the stipulation was refused. (Longe Decl. ¶¶ 12, 14; McGarrigle Decl. ¶¶ 6-9.) Measured from the discovery of the judgment, that course reflects diligence. (*Rappleyea*, supra, 8 Cal.4th at p. 982.)

Plaintiff characterizes the timing of the trustee's transition as suspicious and suggests that the incapacity theory is a recent invention. The record does not bear that out. The Resignation of Trustee was executed in September and October 2025, months before the judgment, and its staggered execution is explained by the need to obtain the consent of a conserved beneficiary and a beneficiary residing abroad. (Longe Decl. ¶¶ 6, 8;

Supp. Longe Decl. ¶ 3.)

IV. Unclean Hands

Plaintiff contends that Defendant's own conduct bars equitable relief under the doctrine of unclean hands. Whether the doctrine applies turns on the analogous case law, the nature of the misconduct, and the requirement that the misconduct relate directly to the transaction for which relief is sought. (*Blain v. Doctor's Co.* (1990) 222 Cal.App.3d 1048, 1059-1060.) The conduct Plaintiff identifies, chiefly the delay in disclosing the change of trustee, does not bear that direct relationship to the default, and the record does not show the kind of inequitable conduct the doctrine requires. The argument does not defeat relief.

CONCLUSION

Defendant's Motion to Vacate Default and Default Judgment is granted. The default entered on August 8, 2025, and the default judgment entered on March 6, 2026, are vacated. Defendant has attached a demurrer as his response to the complaint. Defendant shall file and serve the demurrer within twenty days of the date of this order.